Dolph Research

EQUITY RESEARCH NOTE

RTX CORPORATION

STANDALONE MARCH 10, 2026

RTX — Current period: 2025-12-31 | Prior period: 2024-12-31

EXECUTIVE SUMMARY

RTX CORPORATION

Executive Summary

RTX closes 2025-12-31 with $88.6B of revenue (9.7% YoY) and $6.73B of net income (41.0% YoY). The period ended with an operating margin of 10.5% and a net margin of 7.6%, which frames how much of the reported scale translated into retained profitability. Revenue and earnings improved together, indicating that the growth story carried through to reported profitability.

Operating cash flow reached $10.6B (47.6% YoY), and after $2.63B of capital spending the business produced $7.94B of free cash flow (75.1% YoY). Cash generation exceeded reported earnings, a sign that the period converted accounting profit into liquidity with relatively little friction. Capital spending absorbed 3.0% of revenue, which helps frame how much internal cash flow remained available after reinvestment.

Current liquidity of 1.03x and debt-to-equity of 0.51x point to a balance sheet that is neither clearly stressed nor clearly overcapitalized.

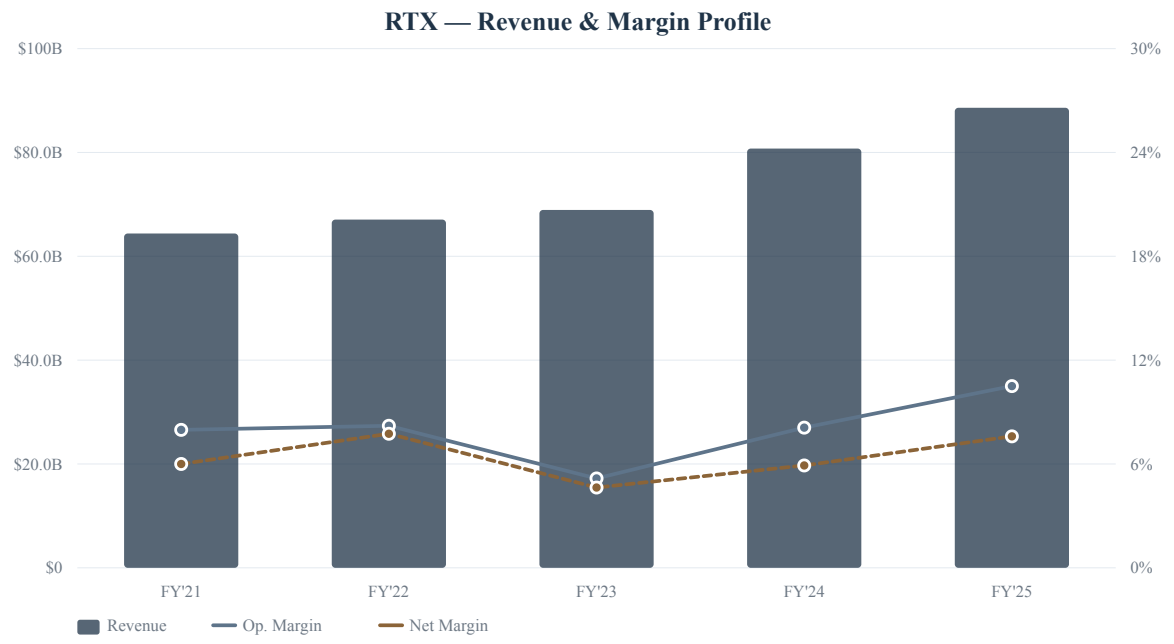
REVENUE	NET INCOME	OPERATING MARGIN	FREE CASH FLOW
$88.6B	$6.73B	10.5%	$7.94B
9.7%	41.0%	29.6%	75.1%

Snapshot Scorecard

METRIC	CURRENT	PRIOR	CHANGE
Revenue	$88.6B	$80.7B	9.7%
Net Income	$6.73B	$4.77B	41.0%
Operating Margin	10.5%	8.1%	29.6%
Debt-to-Equity	0.51x	0.63x	-18.2%
Current Ratio	1.03x	0.99x	3.4%
Free Cash Flow	$7.94B	$4.53B	75.1%

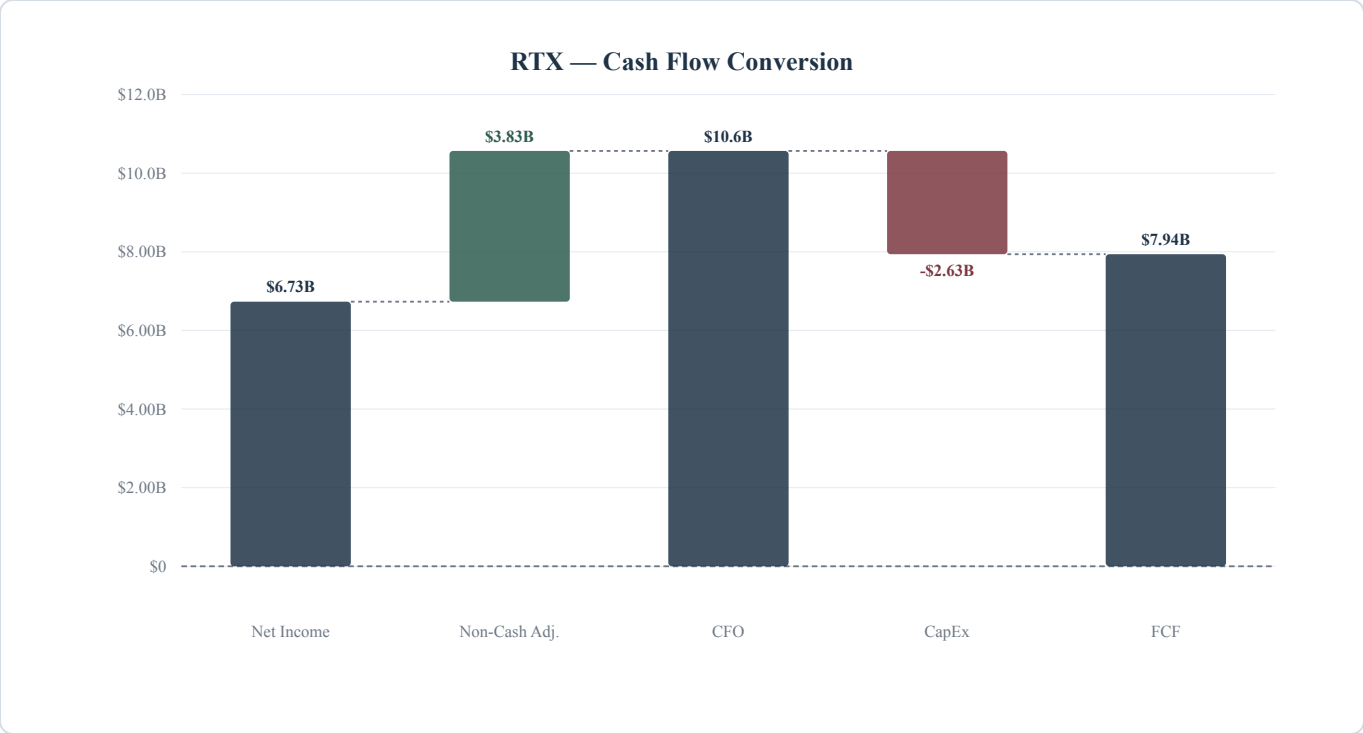
Visual Highlights

RTX — Current period: 2025-12-31 | Prior period: 2024-12-31



Revenue Growth & Margin Profile

Revenue trend and margin structure across the most recent annual periods.



Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

Key Metrics Dashboard

RTX — Current period: 2025-12-31 | Prior period: 2024-12-31

Profitability

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Gross Profit	Not reported	Not reported	Not reported
Return on Equity	10.4%	7.7%	34.8%
Return on Assets	4.0%	2.9%	37.1%
Gross Margin	Not reported	Not reported	Not reported
Operating Margin	10.5%	8.1%	29.6%
Net Margin	7.6%	5.9%	28.5%
Earnings Per Share (Diluted)	$4.96	$3.55	39.7%

Liquidity & Leverage (1/2)

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Current Assets	$60.3B	$51.1B	18.0%
Current Liabilities	$58.8B	$51.5B	14.1%
Cash & Equivalents	$7.43B	$5.58B	33.3%
Cash, Cash Equivalents & Restricted Cash	Not reported	Not reported	Not reported
Restricted Cash	$35M	$28M	25.0%
Cash, Cash Equivalents & Short-Term Investments	Not reported	Not reported	Not reported
Short-Term Investments	Not reported	Not reported	Not reported

Liquidity & Leverage (2/2)

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Marketable Securities	$750M	$786M	-4.6%
Long-Term Debt	$34.3B	$38.7B	-11.5%
Short-Term Debt	$204M	$183M	11.5%
Total Debt	$34.5B	$38.9B	-11.4%
Current Ratio	1.03x	0.99x	3.4%
Debt-to-Equity	0.51x	0.63x	-18.2%

Key Metrics Dashboard (Cont.)

RTX — Current period: 2025-12-31 | Prior period: 2024-12-31

Scale

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Revenue	$88.6B	$80.7B	9.7%
Gross Profit	Not reported	Not reported	Not reported
Operating Income	$9.30B	$6.54B	42.2%
Net Income	$6.73B	$4.77B	41.0%
Total Assets	$171B	$163B	5.0%
Total Liabilities	$104B	$101B	3.0%
Stockholders' Equity	$67.1B	$61.9B	8.4%

Cash Flow & Per Share

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Operating Cash Flow	$10.6B	$7.16B	47.6%
Cash at End of Period (cash-flow statement)	$7.47B	$5.61B	33.3%
Capital Expenditures	-$2.63B	-$2.63B	0.1%
Free Cash Flow	$7.94B	$4.53B	75.1%

Commentary

RTX — Current period: 2025-12-31 | Prior period: 2024-12-31

What stands out

Across the annual periods shown here, Free Cash Flow provides the clearest recurring pattern, with the latest value at $7.94B and a compound annual growth rate of 17.6%. The multi-year progression is steady enough to suggest an improving operating profile.

The multi-year trend is positive, but the pace is moderate rather than transformative. Cash generation remained constructive, with $10.6B of operating cash flow translating into $7.94B of free cash flow. Balance-sheet pressure should be read through both leverage (0.51x debt-to-equity) and liquidity (1.03x current ratio), because those measures do not always point to the same conclusion about financial flexibility.

Watch items

No single balance-sheet or earnings issue dominates the reporting period used in this note. The main areas to monitor remain profitability at 10.5% and free cash flow at $7.94B, because those lines usually determine whether the balance sheet is strengthening or merely holding steady.

Analyst interpretation

RTX's profile does not reduce to a single standout strength or weakness; the more relevant question is how the income statement, cash flow statement, and balance sheet interact. That matters because leverage (0.51x debt-to-equity), liquidity (1.03x current ratio), and free cash flow ($7.94B) need to be read together rather than in isolation.

This note is anchored to the annual period ending 2025-12-31, with the prior period set at 2024-12-31. Metrics without the required statement support remain blank rather than estimated, so the analysis stays tied to the filing evidence rather than to gap-filled assumptions.

Appendix

RTX — Current period: 2025-12-31 | Prior period: 2024-12-31

Appendix A — RTX Income Statement

METRIC	FY2025	FY2024
Revenue	$88.6B	$80.7B
Operating Expenses	$79.7B	$74.1B
Operating Income	$9.30B	$6.54B
Net Income	$6.73B	$4.77B
EPS (Basic)	$5.02	$3.58
EPS (Diluted)	$4.96	$3.55
Weighted Avg Shares (Diluted)	1.4B	1.3B
R&D Expenses	$2.81B	$2.93B
SG&A Expenses	$6.09B	$5.81B
Pretax Income	$8.73B	$6.19B
Income Tax Expense	$1.66B	$1.18B

Appendix B — RTX Balance Sheet (Part 1/2)

METRIC	FY2025	FY2024
Shares Outstanding	1.7B	1.7B
Total Assets	$171B	$163B
Total Liabilities	$104B	$101B
Total Stockholders' Equity	$67.1B	$61.9B
Current Assets	$60.3B	$51.1B
Current Liabilities	$58.8B	$51.5B
Cash & Equivalents	$7.43B	$5.58B
Restricted Cash	$35M	$28M
Total Debt (derived)	$34.5B	$38.9B
Long-Term Debt	$34.3B	$38.7B
Short-Term Debt	$204M	$183M

Appendix (Cont.)

RTX — Current period: 2025-12-31 | Prior period: 2024-12-31

Appendix B — RTX Balance Sheet (Part 2/2)

METRIC	FY2025	FY2024
Inventory	$13.4B	$12.8B
Accounts Receivable	$14.7B	$11.0B
Marketable Securities	$750M	$786M
Other Current Assets	$7.74B	$7.24B
Accounts Payable	$15.9B	$12.9B
Other Current Liabilities	$14.3B	$14.8B
Retained Earnings	$56.7B	$53.6B
AOCI	-$2.72B	-$3.75B
Treasury Stock	-$26.9B	-$27.1B
Goodwill	$53.3B	$52.8B

Appendix C — RTX Cash Flow Statement

METRIC	FY2025	FY2024
Operating Cash Flow	$10.6B	$7.16B
Capital Expenditures	-$2.63B	-$2.63B
Investing Cash Flow	-$1.26B	-$1.53B
Financing Cash Flow	-$7.49B	-$6.62B
Dividends Paid	-$3.57B	-$3.22B
Share Repurchases	-$50M	-$444M
Depreciation & Amortization	$4.38B	$4.36B
Depreciation	$1.90B	$1.80B
Amortization of Intangibles	$2.10B	$2.20B
Debt Repayment	-$3.43B	-$2.50B
Net Change in Cash	$1.86B	-$1.02B
Cash at End of Period (cash-flow statement)	$7.47B	$5.61B

Data Sources & Notes

TICKER	CIK	ACCESSION	FORM	FILED	PRIMARY DOCUMENT
RTX	0000101829	0000101829-26-000006	10-K	2026-02-06	https://www.sec.gov/Archives/edgar/data/101829/000010182926000006/rtx-20251231.htm

Method Notes

Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.

Standalone metrics use the selected current and prior annual periods for the issuer.

The narrative summarizes the filing-backed figures shown elsewhere in the report and does not alter the calculations.

Report date: 2026-03-10.

Disclaimer: For research use only; not investment advice.